Water

Fact Sheet

SA Water Regulatory Determination 2024: Overview

Following a detailed independent review, public engagement and consideration of submissions, the Commission has made a new regulatory determination to apply to SA Water for the coming four-year period 1 July 2024 to 30 June 2028: SA Water Regulatory Determination 2024 (SAWRD24).

SAWRD24 protects South Australian consumers' long-term interests with respect to the price, quality and reliability of SA Water's services. It does so by setting consumer protection measures, service standards, maximum revenue allowances and performance monitoring and reporting arrangements.

SA Water is a vertically-integrated, long-term, asset-intensive water and sewerage business, wholly owned by the South Australian Government. People, businesses and communities in South Australia use its water and sewerage services as an essential part of their everyday lives and operations and to support economic development and growth.

The essential nature of these services means that it is important that SA Water delivers, and is seen to deliver, value for money – now and into the future. The economic regulatory regime implemented by the Essential Services Commission requires SA Water to deliver those services at the lowest sustainable cost for the quality and reliability levels that customers value.

SA Water Regulatory Determination 2024

- Enhances the existing consumer protection framework, requiring SA Water to provide additional protections for tenants (as consumers), customers experiencing payment difficulties and customers affected by family violence.
- Sets, for water and sewerage retail services, maximum caps on the revenues that SA Water can recover from customers over the period 1 July 2024 to 30 June 2028:
  - a stand-alone $3,524 million ($Dec22) revenue cap for water retail services, and
  - a stand-alone $1,806 million ($Dec22) revenue cap for sewerage retail services,

  (an implied overall cap of $5,330 million ($Dec22)).

  The caps incorporate the recovery over time of $1,387 million of capital expenditure ($Dec22), which the South Australian Government requires SA Water to spend to deliver specific projects and programs during the period, including the Metropolitan Growth program and the Tea Tree Gully Sustainable Sewers program.

  That amount will not be recovered entirely within this four-year regulatory period but instead will be recovered over the life of the relevant assets (in some cases up to 100 years). The impact of this requirement during the regulatory period is slightly more than 2 percent for the overall cap.
- Sets a pricing principles, price disclosure, monitoring and dispute resolution determination in relation to the recycled water and end-user specific retail services provided by SA Water.

The Commission will monitor, report on and take compliance action, as required, in relation to SA Water's performance and delivery under the regulatory determination, focussing on SA Water's:

- consumer protection and service standard delivery
- maximum revenue cap compliance
- asset planning, delivery and maintenance performance and outcomes, and
- expenditure undertaken in accordance with South Australian Government directions.

This will facilitate greater public visibility and opportunities for scrutiny of SA Water's operational performance and delivery outcomes over the four-year period and into the future.

Context, roles and functions

Essential Services Commission of South Australia

The Commission's overall purpose and approach in regulating SA Water aims to encourage economically efficient behaviour that is in consumers' long-term interests. This supports a regulatory compact that provides SA Water with sufficient revenue to provide prudent, efficient, safe and reliable water and sewerage retail services to its customers.

The regulatory determination includes binding customer protection and service standard requirements, with associated maximum revenue caps. It does not approve or set SA Water's projects, programs, budget or prices – SA Water must manage its own business prudently and efficiently within the context of the requirements and caps.

The economic regulatory process exists within a broader policy and regulatory system. Regulatory determinations made by the Commission are informed by, and inform, decisions made by the South Australian Government and SA Water.

South Australian Government

The South Australian Government is the owner of SA Water, acting for and on behalf of the people of South Australia. As owner, the South Australian Government:

- makes decisions about SA Water's strategic objectives, operational arrangements, performance and financial targets, and community service obligations
- sets, with SA Water, customer prices so that SA Water recovers no more than the prudent and efficient total four-year revenue caps set by the Commission, and
- can direct SA Water to undertake specific projects and programs to deliver initiatives.

SA Water

SA Water owns, operates and delivers to customers water and sewerage retail services, using long-term assets, for the benefit of the customers and the State. It is responsible for managing its day-to-day operations, decisions and asset portfolio within the customer protection and service standard requirements and maximum revenue caps established by the revenue determination, and in accordance with other legal and regulatory obligations (such as South Australian Government directions). This involves:

- engaging with customers and stakeholders on the quality, reliability and timing of services
- determining its investment priorities and setting budgets for specific projects and programs that deliver the lowest sustainable lifecycle costs, and
- constantly reviewing and reprioritising its operational delivery and capital investment requirements and obligations, across regulatory periods, as circumstances change.

Protecting consumers

The Water Retail Code – Major Retailers sets the behavioural standards and minimum requirements that apply to SA Water for the sale and supply of retail services (water and sewerage) to customers and, in some instances, other consumers.

The Commission's decision is that the existing consumer protections contained in the Code remain appropriate for SAWRD24, subject to some amendments to enhance elements of its customer service and delivery. Those include improved protections for tenants, certain customers experiencing payment difficulties and customers affected by family violence.

With regard to the service standards that SA Water must meet in the sale and supply of retail services, the existing 22 service standards will continue to apply during SAWRD24, with one performance target raised to reflect SA Water's performance over time.

Prudent and efficient maximum revenue caps

As required under the statutory framework and the Pricing Order, the Commission has established two separate maximum revenue caps that apply to SA Water's water and sewerage retail services provided to all customers:

- $3,524 million revenue cap for water retail services
- $1,806 million revenue cap for sewerage retail services

These maximum revenue caps provide SA Water with sufficient revenue to fund efficient operations (including the enhanced consumer protections), finance prudent investments on a long-term basis and meet all health, safety, environmental and customer service standards.

The caps encompass an amount of $1,387 million of capital expenditure ($Dec22), which the South Australia Government, SA Water's owner, requires it spend in the four-year period in relation to specific projects and programs. These include the Metropolitan Growth project ($1,070 million $Dec22) and the Tea Tree Gully Sustainable Sewers project ($293 million $Dec22). As this amount is fixed under a separate legal process, the Commission does not assess it through the regulatory determination process; however, as explained below, it will introduce additional public monitoring and reporting of SA Water's performance in delivering these requirements.

Once the caps are set, SA Water must set its prices during the period 2024 to 2028 such that it does not recover from South Australian customers more than those amounts. Of note, the South Australian Government may require or permit SA Water to spend more than the revenue caps – provided that additional expenditure comes from revenue sources other than SA Water's customers.

In setting the maximum revenue caps, the Commission has had regard to a wide range of evidence and information, including from customers and consumers, SA Water, industry and consumer representative groups, its own research and commissioned independent expert reports. As required by the statutory framework, in developing those maximum revenue caps it has considered and formed views on constituent 'building blocks' (such as capital and operating expenditure, the regulatory rate of return and depreciation).

Importantly, the Commission's positions on those 'building blocks' are not binding on SA Water – only the maximum revenue caps are binding. While in some instances the Commission has considered evidence and information in relation to a sample of SA Water's intended project and programs, the regulatory determination neither requires nor impedes their delivery. In the same way, the Commission's views on other elements of the building blocks, such as capital and operating expenditure, do not 'fix' those amounts such that SA Water must comply with them. Under the statutory framework, the Commission cannot do so.

Instead, SA Water is expected to manage and operate its business prudently and efficiently within the maximum revenue caps, continually assessing its customer service and expenditure mix and priorities as new information comes to light and circumstances change.

Recycled water and end-user specific retail services

Recycled water and other end-user specific retail services (such as the provision of new connections and trade waste services) are 'excluded' from the revenue caps and dealt with under a stand-alone pricing determination. This is on the basis that these services are provided to specific customers and their costs are recovered through specific charges to those customers (or potential customers) rather than being paid by all customers.

The previous stand-alone pricing determinations for these services established principles with which SA Water had to comply when setting prices. Those included National Water Initiative Pricing Principles and principles established by the Commission.

The Commission reviewed SA Water's recycled water and excluded services pricing and has not found evidence that SA Water is misusing its market power in setting prices. This suggests that a more prescriptive regulatory approach is not required. The Commission will therefore continue to regulate the sale and supply of these services under a pricing principles approach, and will do so on an ongoing basis (noting that it may change this position where evidence and circumstances require, in accordance with the statutory framework).

Transparent performance reporting

It is important that customers receive the levels of service required of SA Water under the regulatory determination, South Australian Government directions and other legal and regulatory obligations. SA Water must therefore manage, and be seen to manage, its network and its service delivery efficiently and effectively now and into the future. The Commission plays a role in this, through monitoring, analysing and publicly reporting on SA Water's performance, including under a Monitoring and Evaluating Performance Framework. SA Water is also responsible for reporting directly to customers on its performance.

The Commission considers that the existing framework remains appropriate for SAWRD24, subject to amendments that will:

- provide better assurance on particular areas of SA Water's performance, such as compliance obligations, governance of data and information, accountability for service standards and operational performance and delivery.
- expand the framework to enhance the monitoring, assessment and public reporting of SA Water's capital works program.

The reporting amendments for the capital works program have been introduced in recognition of:

- the large capital works program that SA Water has stated it will undertake over the coming four years, as well as the program of works (and associated expenditure) that the South Australian Government has directed SA Water to deliver
- the fact that SA Water did not spend as much on certain capital works projects as it had proposed over the past four years, and therefore did not deliver some projects and programs that it had claimed it would, and
- stakeholder calls for greater transparency over SA Water's capital works expenditure and delivery, to facilitate better understanding of the extent to which customers are receiving the outcomes promised by SA Water.

The Commission will require SA Water to keep books and records (in an auditable form) that correctly record and explain expenditure associated with Government directions, to distinguish it from other expenditure under the revenue cap.

To improve transparency over SA Water's excluded services pricing and support the move to an ongoing pricing principles regulatory approach, the Commission will maintain the current requirement for SA Water to provide the Commission with pricing information but will include additional detail on the manner and form of

the data required. The Commission will continue to undertake compliance monitoring and enforcement on this matter through its general compliance framework.

About the regulatory determination

This regulatory determination has been made by the Commission in accordance with the provisions of the Water Industry Act 2012 and the Essential Services Commission Act 2002.

Consistent with its primary objective of protecting the long-term interests of consumers with respect to the price, quality and reliability of essential services, and with its past approach, SAWRD24 will challenge SA Water to continue to:

- deliver the protections and consumer benefits put in place over the last 10 years, since the economic regulation of SA Water commenced
- enhance protections for water users and provides incentives for SA Water to deliver additional financial and management efficiencies over the coming four years and beyond
- have and deliver against sound long-term asset management, operating and financing strategies, which support the provision of those services for present and future customers, and
- confirm the need for SA Water to provide regular, meaningful, transparent and public information on how it is responding to its customers and to explain its ongoing performance as a monopoly water utility.

Notably, the regulatory determination is not a determination by the Commission on a proposal put forward by SA Water, nor is it a process involving the Commission deciding between two competing cases (for example, SA Water and its customers). Under the statutory framework, the Commission makes an independent regulatory determination which it considers best meets statutory requirements in light of the information, evidence and data available to it at the time that the decision is made.

In that sense, while the Commission's decision is informed by all submissions and representations made to it, the regulatory determination is not a judgment on those matters: it is the Commission's considered position as to the appropriate form of consumer protections, service standards and price and revenue controls to be delivered and met by SA Water during the period 1 July 2024 to 30 June 2028.

Please refer to Appendix 1 for a summary of key outcomes. The SAWRD24 statement of reasons, price determinations and Water Retail Code – Major Retailers are available on the Commission's website.

Next steps

Following the release of the final regulatory determination, SA Water will set water and sewerage prices in accordance with maximum revenue caps and pricing requirements to apply from 1 July 2024.

Timing	Milestone
June 2024	Commission releases final regulatory determination
June 2024	SA Water and SA Government set prices
1 July 2024	SAWRD24 regulatory period commences

The Commission intends to conduct a post-project review to gather stakeholder views on the process used to undertake SAWRD24. The outcomes of this review will be published on the Commission's website, when available.

The Commission thanks those who made submissions to the SAWRD24 review and engaged with the Commission during the process to provide evidence and comment, all of which have been carefully considered and have provided valuable information and insights.

Appendix 1 – Summary of key outcomes

Following a detailed independent review and an opportunity for public submissions, the Essential Services Commission has revised the regulatory framework, including consumer protections, service standards and revenue caps, to apply to SA Water for the period 1 July 2024 to 30 June 2028.

The determination process included:

- reviewing and amending the consumer protections contained in industry codes
- reviewing the customer service and network reliability service standards with associated performance targets
- making regulatory determinations covering revenue caps for water and sewerage retail services and other pricing-related controls for recycled water services and other ('excluded') retail services, and
- reviewing and amending the monitoring, evaluating and performance framework.

This appendix provides a summary of the key outcomes and associated reasons within the new regulatory determination. It is intended to assist those wishing to understand the general nature and scope of the regulatory determination. The SAWRD24 statement of reasons, price determinations and Water Retail Code – Major Retailers are available on the Commission's website.

Water Retail Code – Major Retailers

The Water Retail Code – Major Retailers (Code) sets out the behavioural standards and minimum requirements that apply to SA Water for the sale and supply of retail services (water and sewerage) to customers and, in some instances, other consumers.

The Commission has considered and reached decisions on proposals for changes to the Code and Service Standards from SA Water, discussed further below.

The Commission's decision is that the existing consumer protections contained in the Code continue to remain appropriate for SAWRD24, subject to some limited amendments to enhance protections for consumers, customers experiencing payment difficulties and customers affected by family violence.

With regard to the service standards that SA Water must meet in the sale and supply of retail services to its customers, the Commission's decision is that the existing 22 service standards will continue to apply during SAWRD24, with one performance target lifted to reflect SA Water's historical performance.

Protections for customers and consumers

The Commission's final decision is that the existing protections contained in the Code remain appropriate for SAWRD24, subject to the following variations:

- Certain protections that currently apply only to customers, defined as owners of land to which a retail service is provided, will be extended to apply to all consumers, such as tenants and other occupants.
- New requirements will be established that require SA Water to publish information about how hardship provisions apply differently to customers, as owners of land, and other types of consumers, and what consumers can do if they dispute a bill.
- SA Water will be prohibited from restricting water flow in properties that SA Water believes or should reasonably believe, is tenanted.
- The current prohibition on SA Water charging customers for provision of paper bills will be removed. SA Water will have the discretion to charge for the provision of paper bills provided:

  - it has undertaken public consultation on the proposal and, following consultation, publicly explained its decision whether to proceed with the charge
  - an exemption scheme is established
  - the charge is clearly identified on bills
  - 12 months' notice has been provided before the charge is introduced, and
  - customers have the option to receive a bill free of charge via an alternative method (for example, electronically).

- The requirement for SA Water to undertake an actual meter read at a customer's property where a self-read has not been accepted will be removed. This requirement will be replaced with an obligation for SA Water to provide customers with the option of either resubmitting a compliant read or organising a time for a meter reader to have access to the meter.
- SA Water will be required to offer and apply flexible payment plans to both residential and certain types of non-residential customers who are experiencing payment difficulties (currently this protection is only required for residential customers) and protect both residential and non-residential customers from debt recovery and restriction of water services while adhering to the terms of an agreed payment plan.
- SA Water will be required to establish policies and processes for early identification of residential customers who may be experiencing payment difficulties and will be required to employ best endeavours to contact these customers to provide information about available assistance.
- New conduct and policy requirements will be introduced for SA Water in relation to providing protections for customers experiencing family violence.
- New provisions will establish the service standards that will apply when SA Water has been directed to take over the operations of another water industry entity on either a temporary or ongoing basis.
- SA Water will be required to include the Ombudsman's contact details on customer bills.

Best endeavours service standards with performance targets

The Commission's final decision is that the existing 22 best endeavours service standards will continue to apply to SA Water during SAWRD24. The service standards cover aspects of customer service, responsiveness to service issues, service restoration timeliness and timeliness of connections. There are separate service standards for the Adelaide metropolitan area and regional areas.

The Commission has not accepted SA Water's proposal to adjust the performance metrics for regional response service standards or the sewer overflow clean-up service standards, as it considers doing so may result in service reductions.

To improve transparency where SA Water does not meet a service standard performance target the best endeavours regime requires SA Water to provide public justification and evidence of why and how it considers that it employed best endeavours notwithstanding that the performance target was not met. The Commission will consider SA Water's justification and evidence in assessing whether or not best endeavours were used. This regime provides greater transparency on SA Water's performance for its customers, while also aiding the Commission in undertaking a review of the reasonableness of any service standard targets that SA Water is unable to meet over SAWRD24 when setting performance targets for SAWRD28.

For SAWRD24, SA Water has proposed to maintain its service levels, and therefore proposed no increases to the service standard performance targets. However, as SA Water has consistently exceeded the performance target for the service standard relating to complaint escalation to the Ombudsman over SAWRD20, the Commission proposes to increase the target for SAWRD24 to reflect SA Water's current performance.

The Commission has also made a final decision that customers connected to the Tea Tree Gully (TTG) Community Wastewater Management System (CWMS) will not be included in the assessment of SA Water's overall performance against its service standards (except for customer service standards). SA Water will instead be required to separately report service performance of the TTG CWMS.

The Commission's final decision on service standards for SAWRD24 is to:

- Maintain current regional response time performance measures.
- Maintain current sewer overflow clean-up performance measures.
- Require SA Water to provide more detailed annual public reporting on missed service standard performance targets.
- Increase the performance target for service standard 5: complaint escalation to the Ombudsman from ≤15 percent to ≤10 percent.
- Maintain current public reporting requirements for water and sewer network reliability.
- Maintain current public reporting requirements for sewer overflows to the environment.
- Maintain current public reporting requirements for water quality improvement.

SA Water must continue to use its best endeavours to meet the 22 service standards and performance targets that will apply in SAWRD24. These are summarised in Box 2 at the end of this appendix.

Price determination - Revenue caps

Water and sewerage retail services that are typically provided to all, or a broad class, of SA Water's customers, are regulated under a revenue cap approach.

Provision of these services requires the construction, maintenance and operation of infrastructure and includes activities such as asset refurbishment, preventative and corrective maintenance, management of water quality and the management of water reserves. It also includes the ongoing costs of serving customers, for example regular meter reading and issuing bills.

These 'direct control' retail services have historically been regulated through a regulatory determination that establishes separate revenue caps for water and sewerage retail services. The revenue caps fix SA Water's revenues for four years subject to mechanisms that allow for the pass-through of certain unforeseen costs and revenue changes due to variations in demand.

Form of regulation – Revenue caps

As a part of the SAWRD24 regulatory determination:

- The majority of SA Water's water and sewerage retail services are each subject to a four-year maximum total revenue cap, covering the period 1 July 2024 to 30 June 2028. (Pricing Order, clauses 4.1, 4.2 and 4.3)
- The revenue caps are based on the forecast efficient and prudent costs of providing water and sewerage retail services during the 2024-28 regulatory period, are prepared, and presented based on a building blocks cost model, are set in real (inflation-adjusted) terms, and are set at a fixed dollar amount, subject to the ancillary (adjustment) variation mechanisms specified in the Pricing Order as explained below. (Pricing Order, clauses 5.1 and 5.2)

The adjustment variation mechanisms:

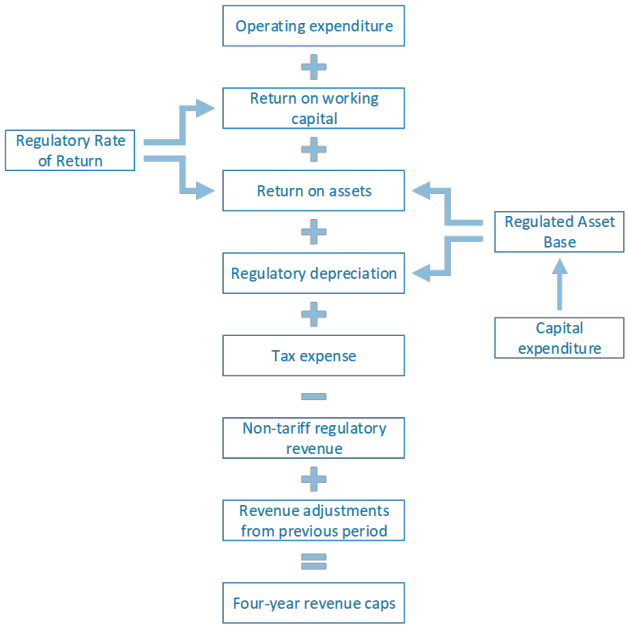
- A 'cost pass-through' mechanism is included, which permits adjustment of the revenue caps in the 2028-32 regulatory period where an event beyond the control of SA Water has, or will have, a material impact on SA Water's costs of providing water or sewerage retail services within the 2024-28 regulatory period. (Pricing Order, clause 4.6)
- A 'demand variation adjustment' mechanism is included, which permits adjustment of the revenue caps in the 2028-32 regulatory period to account for any material differences between forecast and actual water and sewerage retail service revenue earned, due to differences between forecast and actual water sales and sewerage connections. (Pricing Order, clause 4.5)
- A 'shared infrastructure' mechanism for water retail services which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the difference between actual and forecast revenues from the 2024-28 period, for the provision of non-regulated services by SA Water that utilise water retail service infrastructure.
- A 'shared infrastructure' mechanism for sewerage retail services which permits adjustment of the revenue caps in the 2028-32 regulatory period, by 10 percent of the revenue earned by SA Water in the 2024-28 regulatory period, for the provision of non-regulated services by SA Water that utilise sewerage retail service infrastructure.
- A 'River Murray licence adjustment' mechanism will be included and will reduce revenue caps in the subsequent regulatory period to reflect income derived by SA Water from the sale of water allocations associated with River Murray water entitlements.

The building blocks cost model is a commonly accepted economic approach to estimating efficient costs. In this regard, it is effectively a build-up of the forecast efficient costs of the regulated firm.

As shown in Figure 1, the building blocks cost model will involve adding the forecast efficient operating expenditure, return on working capital, return on assets, regulatory depreciation and tax expense to determine the total efficient costs of providing each service. It will deduct revenue that SA Water receives from other sources that contribute towards those costs, such as Community Service Obligations (CSO) payments, to ensure that SA Water does not over-recover those efficient costs.

Adjustments will also be made to reflect outcomes from the current regulatory period that flow through to the next regulatory period, such as those under the demand variation adjustment mechanism, the shared infrastructure revenue adjustment mechanism and the River Murray water licence adjustment mechanism.

Figure 1: Building blocks cost model of water and sewerage services revenue



Determining prudent and efficient revenue caps

The Commission considered all relevant legislative requirements, objectives and factors in making its final decision regarding maximum revenue caps for water and sewerage retail services. The Commission considers the maximum revenue caps reflect an appropriate sustainable cost for providing those services at the determined service standards and in accordance with the obligations set by all regulators of SA Water.

During the regulatory determination process, the Commission reviews a sample of projects, programs and initiatives across SA Water's business. It also assesses the scope for efficiencies to be achieved across the business, based on issues identified with the reviewed sample that are likely to apply to the projects, programs and initiatives not reviewed in detail. Having done so, the Commission establishes forward-looking expenditure benchmarks at a level that should allow SA Water, acting as a prudent and efficient business, to meet known and identified obligations and agreed service outcomes.

In determining the forecast efficient and prudent costs of providing water and sewerage retail services for SAWRD24, the Commission has had regard to the constituent components of total efficient costs. For some components, such as operating expenditure and capital expenditure, there can be inter-relationships. For example, a trade-off could involve choosing between replacing an ageing asset and therefore requiring less maintenance expenditure, compared with undertaking a higher-level ongoing maintenance and repairs instead of replacing the asset. Where possible, the Commission has considered potential trade-offs between capital expenditure and operating expenditure when determining the lowest sustainable total efficient costs of retail services for SAWRD24.

Regulating revenues to recover the lowest sustainable cost of supplying water and sewerage retail services allows SA Water sufficient revenue to efficiently deliver the services valued by customers, in the long term. The Commission is not seeking to deliver low prices in the short term at the expense of long-term service delivery. That would be inconsistent with the Commission's requirement to protect customers' long-term interests. Nor is the Commission setting revenues above the efficient cost of service delivery, as that would deliver inefficiently high prices to customers and potentially excessive profits to SA Water, which would also be inconsistent with the long-term interests of consumers.

In making its assessment, the Commission is not bound to simply accept a regulated entity's claims regarding expenditure requirements, without testing and assessing those claims (publicly, wherever possible) and, where it considers better information or evidence exists, then it may choose to adopt that better information and evidence.

Furthermore, the regulatory decision-making process can involve issues of discretion, judgement and degree (to the extent permitted under the ESC Act and the WI Act). In such cases, given the range of possible choices, the Commission recognises that different minds, acting reasonably, could make different choices on the same subject matter.

Therefore, the methodology applied by the Commission in determining maximum revenue caps for water and sewerage retail services, has been informed by all information, materials and submissions available to it at the time of making the draft, and subsequently, final decision. This includes information and submissions from industry and consumers, SA Water's consumer engagement, as well as public and private sources of data, and information contained in SA Water's RBP. The Commission has also sought and considered additional information and materials from SA Water, some of which is confidential and may not be reported in part or in full in the regulatory determination.

In addition, the Commission has undertaken its own enquiries to obtain further relevant information and advice to inform and assist it in determining the revenue caps for water and sewerage retail services. This includes obtaining the advice of expert engineering and economic consultants. Reports prepared for the Commission by consultants are publicly available for consideration and review as a part of the release of the final determination. The Commission has referenced this information and advice, where it relates to the Commission's determination of final revenue caps.

Expenditure building block outcome and comparison

The following operating expenditure and capital expenditure benchmarks form part of the building block cost model, described above, to calculate maximum revenues for SA Water for the next four years (discussed below). The benchmarks include:

- an assessment of the operating expenditure and capital expenditure required for SA Water to provide prudent, efficient, safe and reliable water and sewerage retail services to its customers (excluding section 6 directions), and
- operating expenditure and capital expenditure that SA Water has been directed to undertake pursuant to section 6 of the *Public Corporations Act 1993* (PC Act).

The Commission has had regard to and incorporated in its determination of total efficient and prudent expenditure for SAWRD24, the section 6 Ministerial directions issued by the Minister for Housing Infrastructure (Minister) under section 6 of the PC Act, including items A to O. Where the directions do not specify dollar values, the Commission has assessed and included efficient expenditure as required under Clause 4.8 of the Pricing Order. Section 6 Ministerial directions are expressed in nominal dollar terms. However, the figures have been converted into real (inflation-adjusted) terms ($Dec22) by the Commission for the purposes of the regulatory determination.

The benchmarks may not reflect SA Water's forecast costs, where those costs are not demonstrated as being prudent and/or efficient. The Commission does not, in any context, approve SA Water's individual projects, programs or initiatives.

Comparison against SA Water's regulatory business proposal

The expenditure benchmark amounts to be included in the calculation of the revenue caps are shown in Table 1.

Table 1: Expenditure benchmarks for SAWRD24 compared with SA Water's proposal ($Dec22)

	SA Water's proposal for SAWRD24 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Operating expenditure	2,385	2,349	-37 ↓	-2 ↓
Net capital expenditure	2,821	3,299	477 ↑	17 ↑
Total expenditure	**5,206**	**5,647**	**441 ↑**	8 ↑

Comparison against SAWRD20

The expenditure benchmark amounts to be included in the calculation of the revenue caps are shown in Table 2.

Table 2: Expenditure benchmarks for SAWRD24 compared with SAWRD20 ($Dec22)

	Final SAWRD20 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Operating expenditure	2,237	2,349	112 ↑	5 ↑
Net capital expenditure	1,885	3,299	1,414 ↑	75 ↑
Total expenditure	**4,122**	**5,647**	**1,525 ↑**	**37 ↑**

Of note, $1,387 of the $1,414 million (75 percent) increase in net capital expenditure benchmark compared to SAWRD20 is driven by directions issued by the Minister for, refer Table 3.

Table 3: Section 6 Ministerial directions for SAWRD24

Section 6 Directions	Amounts, $m ($Dec22)	Nominal terms, over SAWRD24, $m (as in Direction)
Northern Adelaide Irrigation Scheme (NAIS)	8	9
Kangaroo Island Desalination Plant	15	16
Metropolitan Growth	1070	1192
Tea Tree Gully Sustainable Sewers	293	327
Total section 6 capital expenditure	**1,387**	**1,544**

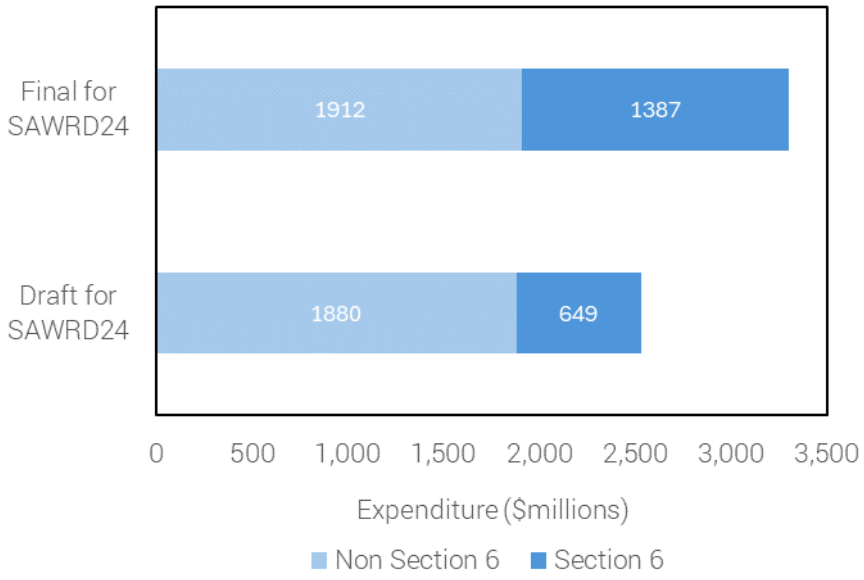
Comparison of expenditure directed under section 6 of the PC Act

Where the South Australian Government, as owner, considers it appropriate and in the public interest to do so, SA Water may be directed to provide certain services or undertake certain activities over the course of a regulatory period.

Such directions are made under section 6 of the PC Act and may specify on-going and new requirements that SA Water must deliver during a regulatory period, with associated cost-related requirements or specifications. This includes directions relating to both capital expenditure and operating expenditure.

For capital expenditure, $1,387 million has been issued in Ministerial section 6 directions for SAWRD24. Figure 2 shows capital expenditure, apportioned between non-section 6 and section 6 spending.

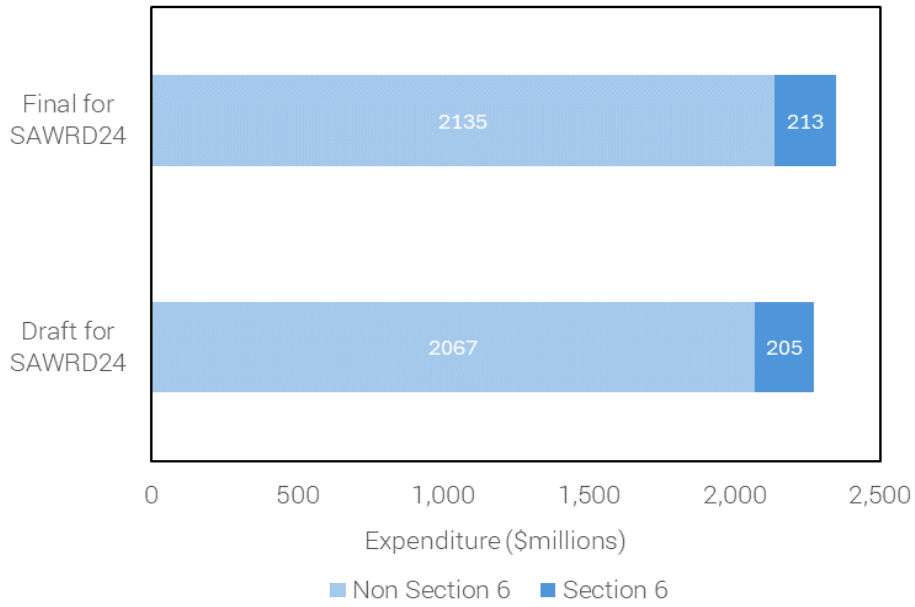
Figure 2: Net capital expenditure, by period and process, split by section 6 directions ($Dec22)



For operating expenditure, $213 million has been issued in Ministerial section 6 directions for SAWRD24 as dollar values expressed in the direction. Figure 2.3 shows operating expenditure, apportioned between non-section 6 and section 6 spending.

Note the operating expenditure chart includes estimates and several assumptions, and there are some section 6 direction activities, for example Fluoridation services, the purchase of renewable energy or carbon offsets and environmental water volume, that are not specified in the chart as section 6 expenditure.

Figure 3: Operating expenditure, by period and process, split by section 6 directions ($Dec22)



Maximum revenue caps outcome and comparison

The Commission's final decision for the combined maximum revenue caps for water and sewerage retail services are less than 1 percent lower than that proposed by SA Water in its RBP, on a comparative basis.

The maximum revenue caps for SAWRD24 have been calculated as the forecast total efficient costs of providing water and sewerage retail services, based on current interest rates and forecasts of inflation and available observations of expenditure and revenue. The total efficient costs of providing water and sewerage retail services have been determined using the building blocks cost model. The maximum revenue caps factor in changes to the requirements that apply to SA Water as a result of updates to the Water Retail Code.

The final decision is that the maximum revenue caps for the four-year period commencing 1 July 2024, in present value terms, are:

- $3,524 million ($Dec22) for **water** retail services, and
- $1,806 million ($Dec22) for **sewerage** retail services.

The Commission's assessment is that the maximum revenue caps will provide SA Water with sufficient revenue to fund prudent and efficient operations and finance prudent and efficient investments on a long-term basis while meeting SA Water's applicable health, safety, environmental and customer service standards and obligations over SAWRD24. The revenue caps include an allowance for expenditure that the Minister has directed SA Water to undertake during the period. In order to deliver value for money on an ongoing basis, SA Water should ensure it has in place sound long-term asset management, operating and financing strategies. These strategies should support the provision of retail services for current and future customers.

SAWRD24 revenue requirements resulting from section 6 directions

Through submissions, stakeholders expressed interest in the impact that section 6 directions issued under the PC Act may have on SA Water's revenue requirements. In terms of prudent and efficient net capital expenditure, the Commission has undertaken an illustrative sensitivity analysis.

If the Commission adopted a net capital expenditure benchmark for SAWRD24 that *excluded* the section 6 directed expenditure, but held all else equal, it is estimated that in total it would lower revenue caps by slightly more than 2 percent for both water and sewerage retail services combined. (Note that in this scenario operating expenditure associated with the expected section 6 directions has not been included.)

It is important to emphasise that SA Water is a long-term, asset-intensive business. Water and sewerage assets that are installed during the next four years, may continue to service customers for over 100 years. Over the next four years, customers will pay a portion of the cost to build new water and sewerage assets (for example, funding four years of a 100-year asset). Customers in future periods will also to pay for the cost of those assets until those assets reach end of life.

Overall, the relatively modest reduction in maximum revenue caps (slightly more than 2 percent) in this scenario reflects that the proposed capital expenditure in water and sewerage assets will be recouped over the whole life of the assets. Therefore, the revenue effect in any four-year period can be relatively small compared to the total period of revenue recovery for long-life assets.

Prices for water and sewerage retail services

SA Water has the flexibility to set prices from year to year as it sees fit, but for the majority of its retail services, is only allowed to recover revenues in accordance with the final four-year maximum revenue caps. The revenue caps set by the Commission are fixed, subject to any adjustment mechanisms in the following regulatory period.

SA Water must ensure its revenues do not exceed the caps, expressed as a present value at 1 July 2024, in dollars of December 2022. In setting the caps, the Commission's assessment of SA Water's prudent and efficient expenditure benchmark has been completed in real, December 2022 dollars. The expenditure forecasts also include allowances for growing demand and customer numbers over the regulated period. SA Water will set prices for water and sewerage retail services from time to time as actual current prices for customers, including the effects of inflation. It is therefore important to note that the likely percentage change in prices set by SA Water will not necessarily mirror the percentage change in revenue caps between regulatory periods.

While the revenue caps are set by the Commission in inflation-adjusted terms (that is, real, December 2022 prices), SA Water will set prices for water and sewerage retail services in nominal terms (that is, they will be set in current prices for customers). It is therefore worth noting that the percentage change in the revenue caps between regulatory periods (for example, the increase in the caps for SAWRD24 relative to those set out in SAWRD20) may not necessarily translate into the same percentage increase in the nominal prices that are set by SA Water.

For further information on current tariffs and charges, please refer to SA Water's website (www.sawater.com.au) or contact SA Water directly on 1300 SA WATER (1300 729 283).

Comparison against SA Water's regulatory business proposal

Under this final determination, the revenue caps for SAWRD24 represent a:

- 1 percent decrease for water retail services compared with SA Water's proposal, and
- 2 percent increase for sewerage retail services compared SA Water's proposal.

Table 4 compares the final revenue caps for SAWRD24 with an adjusted version of SA Water's proposal.

Table 4: Final revenue caps for SAWRD24 compared with an adjusted version of SA Water's proposal, in present value terms ($Dec22)

	SA Water's proposal for SAWRD24 ($m)	Final Determination SAWRD24 ($m)	Variance ($m)	Variance (%)
Total Water	3,569	3,524	-46 ↓	-1% ↓
Total Sewerage	1,771	1,806	35 ↑	2% ↑

The Commission has, for the purposes of making a like-for-like comparison, adjusted SA Water's revenue proposal (including for the latest rate of return and the consumer price index (CPI) inflation roll-forward of the RAB), in order to estimate a comparison between the Commission's final determination and SA Water's proposal. Without making an adjustment, any comparisons of revenue caps may be, for example, significantly impacted by the timing of the assessments and the differing rate of return and other assumptions utilised.
Comparison against SAWRD20

The SAWRD24 determination is made in a different economic context to the previous regulatory determination, SA Water Regulatory Determination 2020 (SAWRD20), which occurred in a low interest rate environment. That environment has changed materially, with material uplifts in interest rates which directly flow through into the determination of the regulatory rate of return (rate of return).

During the four-year SAWRD20 period, lower financing costs meant SA Water was able to deliver the same level of water and sewerage retail services for less than was the case in previous regulatory periods. The cost savings in SAWRD20 were passed on to customers through lower bills. Current financing costs have increased operational costs compared to SAWRD20, returning to levels experienced previously. In addition, higher prices for energy and raw materials are adding to overall cost pressures.

Under this final determination, the revenue caps for SAWRD24 represent a:

- 21 percent increase for water retail services compared with those determined in SAWRD20, and
- 30 percent increase for sewerage retail services compared with those determined in SAWRD20.

While increased expenditure benchmarks have contributed to additional revenue requirements, the Commission's assessment is that the increases in the revenue caps, compared to SAWRD20, have been driven largely by the increase in the rate of return (refer Box 1).

Box 1: Key driver - Rate of return

Increased financing costs have resulted in a final decision to set SA Water's allowed average rate of return at 3.70 percent (real, post-tax), calculated as of 20 March 2024. By way of comparison, the average regulatory rate of return (real, post-tax) adopted in previous determinations was:

- 4.5 percent in 2013-16
- 4.17 percent in 2016-20, and
- a low of 2.68 percent in 2020-24.

In its Regulatory Business Proposal, SA Water calculated revenue requirements using an average regulatory rate of return (real, post-tax) of 3.23%, calculated in March 2023.

To illustrate the impact on the revenue caps from the higher rate of return, holding all things equal, if the rate of return used in SAWRD20 (2.68 percent) was applied for the purposes of the SAWRD24 determination, it would lead to the following revenue outcomes (refer Table 5).

Table 5: Comparison of revenue caps for SAWRD24 using SAWRD20 rate of return, in present value terms ($Dec22)

	Final Determination SAWRD24 – 3.70% Rate of Return ($m)	Final Determination SAWRD24 - 2.68% Rate of Return ($m)	Variance ($m)	Variance (%)
Water	3,524	3,162	-362 ↓	-10% ↓
Sewerage	1,806	1,626	-179 ↓	-10% ↓

In this scenario, the revenue caps would be 9 per cent and 17 percent higher than in SAWRD20 (compared to 21 percent and 30 percent respectively). This is 12 and 13 percentage points below the SAWRD24 final decision (refer Table 6).

Table 6: Comparison of percentage change in revenue caps for SAWRD24 compared to SAWRD20, using SAWRD24 and SAWRD20 rate of return ($Dec22)

	Final Determination SAWRD24 – 3.70% Rate of Return (%)	Final Determination SAWRD24 - 2.68% Rate of Return (%)	Variance (%)
Water	21%	9%	-12% ↓
Sewerage	30%	17%	-13% ↓

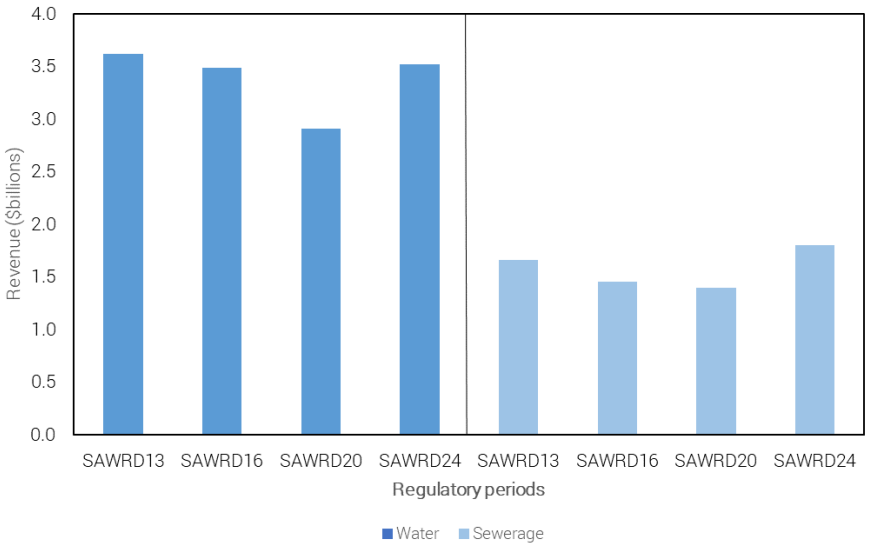
The conclusion may be drawn that the rate of return is the major contributing factor to the increase in the revenue caps.

Comparison against previous determinations

To put the SAWRD24 final determination into context, comparisons can be made against the revenue allowances set out in previous regulatory determinations.

A comparison against the SA Water Regulatory Determination 2013 (SAWRD13) highlights that the current SAWRD24 final determination is not out of the ordinary in terms of the total efficient costs for SA Water for the delivery of water and sewerage retail services (Figure 4). The SAWRD24 revenue caps for water and sewerage retail services are approximately 3 percent lower and 9 percent higher than the revenue amounts determined under SAWRD13.

Figure 4: Revenue amounts across SAWRD13, SAWRD16, SAWRD20 and SAWRD24, in present value terms ($Dec22)



Price determination – Excluded retail services and recycled water

Excluded retail services are retail services that are 'excluded' from the revenue caps.

In general, excluded retail services are provided to specific customers and the costs of such services are recovered through specific charges to those customers (or potential customers) rather than being paid by all customers. This includes the supply of recycled water, the provision of new connections and trade waste services.

Excluded retail services, including recycled water services, have historically been regulated under a regulatory determination that establishes principles that SA Water must apply when setting prices for those services. Those include both National Water Initiative (NWI) Pricing Principles and principles established by the Commission.

The Commission has undertaken a review of SA Water's recycled water and excluded services pricing and has not found any evidence that SA Water is misusing its market power in setting prices. As such, current evidence does not indicate that a more prescriptive regulatory approach is required for SA Water's recycled water or excluded retail services.

The Commission's final decision is to continue to regulate the sale and supply of recycled water and excluded retail services under a pricing principles approach and to do so on an ongoing basis. To improve transparency over SA Water's excluded services pricing and support the move to an ongoing pricing principles regulatory approach, the Commission will maintain the current requirement for
SA Water to provide the Commission with pricing information but will include more detail on the manner and form of the data required. The Commission will continue to undertake compliance monitoring and enforcement through its general compliance framework.

Monitoring and Evaluating Performance Framework

The Monitoring and Evaluating Performance Framework (MEPF) was introduced in SAWRD20 and outlines public reporting requirements and regulatory expectations that apply to SA Water. It requires SA Water to account for the long-term commitments made to customers, including under its RBP, and for delivering the outcomes as required under the consumer protections established by the Code.

Public reporting requirements were set based on four focus areas that stakeholders deemed most important: service standards and performance targets, expenditure and revenue outcomes, key investment areas, and long-term asset management and planning. Under the MEPF, the Commission verifies and provides assurance on SA Water's data collection and analysis through assurance statements, reviews and audits, as required.

The MEPF is based on the Commission's Verified Trust and Accountability (VTA) framework. Under the VTA, there is greater emphasis on licensee accountability and regulatory verification of performance outcomes and long-term trends. A licensee can gain and lose trust based on its own actions, and the Commission can intervene or take regulatory action as required to protect consumers' interests.

The Commission's final decision is to retain and strengthen the MEPF that applies to SA Water, for SAWRD24.

Proposed changes are to:

- embed SA Water's public reporting requirements in the Code
- introduce a new Code requirement for SA Water to report annually to the Commission and the public about how it has applied its best endeavours where it has not met a service standard performance target
- introduce a new Code requirement for SA Water to submit a Basis of Preparation, annually, for the financial and operational performance reporting metrics it submits to the Commission
- introduce a new Code requirement for SA Water to publicly communicate and explain any significant data revisions or errors in its published reports, and
- introduce a new obligation in SA Water's retail licence for it to have and adhere to a compliance system based on the Australian Standard on Compliance Programs, AS 37301:2023 (as amended from time to time).

The Water Regulatory Information Requirements - Major Retailers Water Industry Guideline No. 2 (Guideline 2) will be amended to include:

- the broad information to be covered in SA Water's public reports
- new hardship reporting indicators, including:
  - average amount of bill debt for residential customers upon entry into the financial hardship program as at the end of the quarter
  - average amount of bill debt for residential customers upon successfully exiting the financial hardship program as at the end of the quarter
  - number of residential customers who exited without successfully completing the financial hardship program during the quarter, and

  - average amount of bill debt for residential customers who exited without successfully completing the financial hardship program as at the end of the quarter.

- expectations in relation to the quality and accuracy of information in public reports
- requirements for SA Water's public reports to be reasonably accessible to the public and include timeseries datasets to enable public comparison and analysis of service standard performance, and
- definitions of 'bill debt' and 'successfully exiting the financial hardship program'.

In conjunction with these changes, the Commission intends to strengthen its communication on SA Water's performance both publicly and directly to SA Water.

Background to SAWRD24

SA Water is a vertically-integrated water and sewerage business, wholly owned by the South Australian Government. SA Water provides water and sewerage services to approximately 1.7 million South Australians.

The retail services provided by SA Water are subject to economic regulation by the Commission under the *Essential Services Commission Act 2002* (ESC Act) and *the Water Industry Act 2012* (WI Act). The economic regulatory regime has two main elements:

- SA Water is licensed by the Commission under the WI Act to provide retail services, subject to conditions. While some matters are addressed through licence conditions alone, the Commission is able to make industry codes and rules that prescribe the rules of conduct and procedures that SA Water must follow in providing retail services. This relates in particular to the setting of service standards and the nature and scope of consumer protections that must be adhered to by SA Water.
- The Commission also has the discretion to make determinations relating to pricing for SA Water's retail services. Under the legislative framework of the regime, the Commission regulates the revenues that can be earned by SA Water for the provision of retail services (having regard to the service standard, consumer protection and other regulatory requirements), with SA Water being responsible for setting the specific prices that recover the relevant revenues.

The Commission's overall purpose and approach in regulating SA Water aims to encourage economically efficient behaviour that is in consumers' long-term interests. This supports a regulatory compact that provides SA Water with sufficient revenue to provide prudent, efficient, safe and reliable water and sewerage retail services to its customers, now and into the future.

The Commission undertakes its role as economic regulator within a broader legislative and policy framework. The South Australian Government develops and implements, through legislation, public policy in relation to public health, the environment, water supply and demand planning, technical standards, safety and social welfare, all of which impact on SA Water. The Commission and other regulators perform roles and functions assigned to them by the South Australian Government and Parliament under that policy and legislative framework.

SA Water is regulated by other bodies in relation to matters such as health, quality safety and environmental obligations. The Commission works closely with those bodies, and factors the efficient cost of meeting those obligations into revenue allowances, but is not responsible for those other regulatory requirements or outcomes.

Under the economic regulatory regime, the Commission brings the making of codes, rules, and price determinations into a single regulatory determination process. The regulatory determination will apply for the period 1 July 2024 to 30 June 2028. This is the fourth SA Water regulatory determination made by the Commission.

The Commission has considered all relevant legislative objectives and factors in making this final regulatory determination. The statement of reasons sets out the legal and policy framework for SAWRD24 and how the Commission has addressed the legal requirements.

This final regulatory determination sets out the Commission's considered position as to the most reasonable form and quantum of regulation and revenue control to be applied to SA Water during the 2024-2028 regulatory period. It considers that it best protects South Australian consumers' long-term interests with respect to the price, quality and reliability of the water and sewerage retail services provided by SA Water.

Box 2: Summary of final decision on best endeavours service standards for SAWRD24

Service standards			SAWRD24 target
No.	Category	Standard and performance measure	
1.	Customer service	**Customer satisfaction**: Customers who are satisfied with recent service experience.	≥93%
2.	Customer service	**Telephone responsiveness**: Fault telephone calls answered within 50 seconds.	≥85%
3.	Customer service	**First contact resolution**: Account enquiry telephone calls resolved at first point of contact.	≥85%
4.	Customer service	**Complaint responsiveness**: Customer and community complaints responded to in 10 business days.	≥95%
5.	Connections	**Complaint escalation**: Percentage of customer and community complaints escalated to the ombudsman following dissatisfaction with SA Water response to a complaint. * Change from the current target	**≤10%***
6.	Connections	**Connection application responsiveness**: Network connection applications processed in the target timeframe of 20 business days.	≥95%
7.	Connections	**Water network connection timeliness**: Water network connections constructed in target timeframes.	≥95%
8.	Connections	**Sewer network connection timeliness**: Sewer network connections constructed in target timeframes.	≥94%
9.	Response (attendance)	**Water quality responsiveness – metropolitan Adelaide**: Water quality service requests assessed by field staff that have resolution or plan of action communicated with the customer in target timeframes.	≥97%
10.	Response (attendance)	**Water quality responsiveness – regional areas**: Water quality service requests assessed by field staff that have resolution or plan of action communicated with the customer in target timeframes.	≥99%

11.	Response (attendance)	**Water event responsiveness – high priority – metropolitan Adelaide**: Water network break and leak events with the greatest customer or community impact attended by field crews in target timeframes.	≥99%
12.	Response (attendance)	**Water event responsiveness – high priority – regional areas:** Water network break and leak events with the greatest customer or community impact attended by field crews in target timeframes.	≥99%
13.	Response (attendance)	**Water event responsiveness – low priority – metropolitan Adelaide:** Water break, leak and boundary events with low to medium customer or community impact attended by field crews in target timeframes.	≥83%
14.	Response (attendance)	**Water event responsiveness – low priority – regional areas**: Water break, leak and boundary events with low to medium customer or community impact attended by field crews in target timeframes.	≥97%
15.	Response (attendance)	**Sewer event responsiveness – metropolitan Adelaide:** Sewer events attended by field crews in target timeframes.	≥99%
16.	Response (attendance)	**Sewer event responsiveness – regional areas:** Sewer events attended by field crews in target timeframes.	≥99%
17.	Restoration	**Water service restoration timeliness – metropolitan Adelaide**: Unplanned interruptions to a water service restored in target timeframes.	≥98%
18.	Restoration	**Water service restoration timeliness – regional areas**: Unplanned interruptions to a water service restored in target timeframes.	≥98%
19.	Restoration	**Sewerage service restoration timeliness – metropolitan Adelaide:** Unplanned interruptions to a sewer service restored in target timeframes.	≥95%
20.	Restoration	**Sewerage service restoration timeliness – regional areas:** Unplanned interruptions to a sewer service restored in target timeframes.	≥99%
21.	Restoration	**Sewer overflow clean-up timeliness – metropolitan Adelaide:** Sewer overflow clean-ups completed in target timeframes.	≥98%
22.	Restoration	**Sewer overflow clean-up timeliness – regional areas:** Sewer overflow clean-ups completed in target timeframes.	≥99%